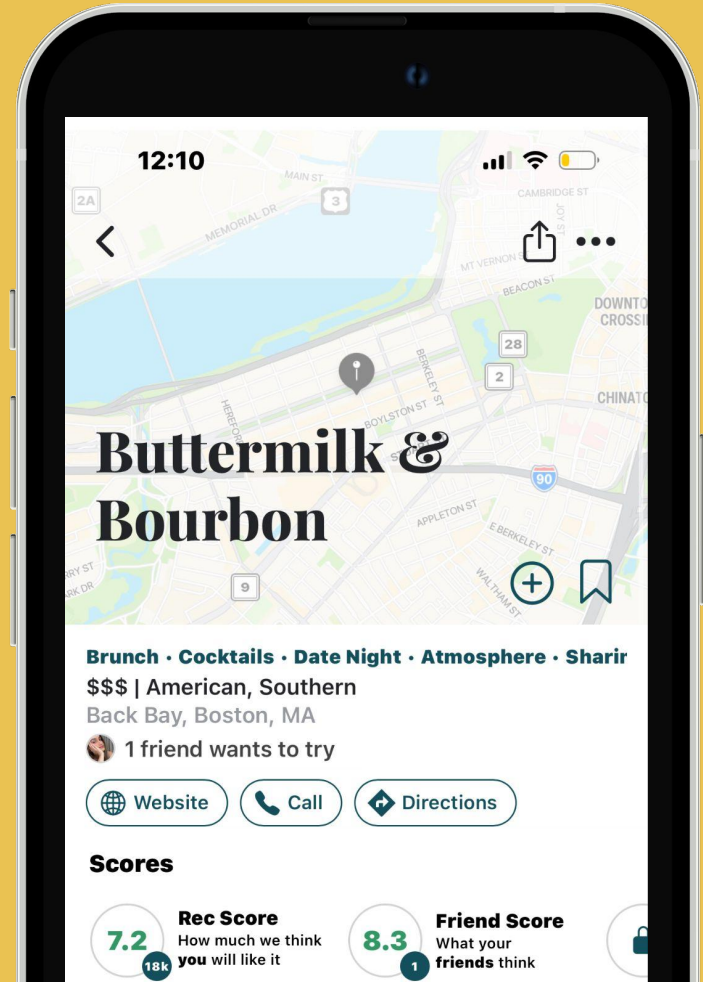


8 December 2025

Buttermilk & Bourbon

Investing in a new
in-house microbrewery

Consulting Team 7
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Presentation Team



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Consultant

A Southern cuisine restaurant in Back Bay, Boston serving up classics like fried chicken, shrimp and grits alongside cocktails, wines and retail beers



Contents

1. Introduction
2. Financial Management
3. Marketing Management
4. Innovation Management
5. Operations Management
6. Organizational & HR Management
7. Simulation Cycles
8. Implementation Plan

Introduction

01

Introduction

The Opportunity

- Southern cuisine restaurant in Boston's Back Bay
- Leverage craft beer culture with in-house brewing
- Create unique food-beer pairing experiences
- Differentiate in saturated market

Key Challenges

- Maturing craft beer market (-3.9% production)
- High operating costs in Back Bay
- Intense competitive landscape
- Regulatory complexity

Overall Goals & Objectives



Enhance Guest Experience

Exclusive house-brewed pairings



Brand Differentiation

Southern and Boston brewing culture



Increase Market Share

Premier craft beer destination



Diversify Revenue

Retail & wholesale beer sales



Build Loyalty

Beer festivals & exclusive events



Drive Innovation

NA beers & zero-waste systems

Target: Break-even within 18 months | Achieve sustainable profitability by Year 3

Target Audience & Market Fit

1

Urban, socially active adults aged 24 – 45 with moderate-high disposable income.

2

Value crafted dining, premium drinks, and vibrant social spaces.

3

Boston households spend \$5,687 annually on dining; average restaurant check is \$60–\$75.

4

Buttermilk & Bourbon estimated per guest spend (\$50–\$90) fits the local spending profile.

5

A Microbrewery adds exclusive, locally brewed craft beers, enhancing authenticity and uniqueness.

6

Strategy focuses on premium experience rather than competing on price with mass-market establishments.

Buttermilk & Bourbon Competitors

2 views

Last edit was on October 24

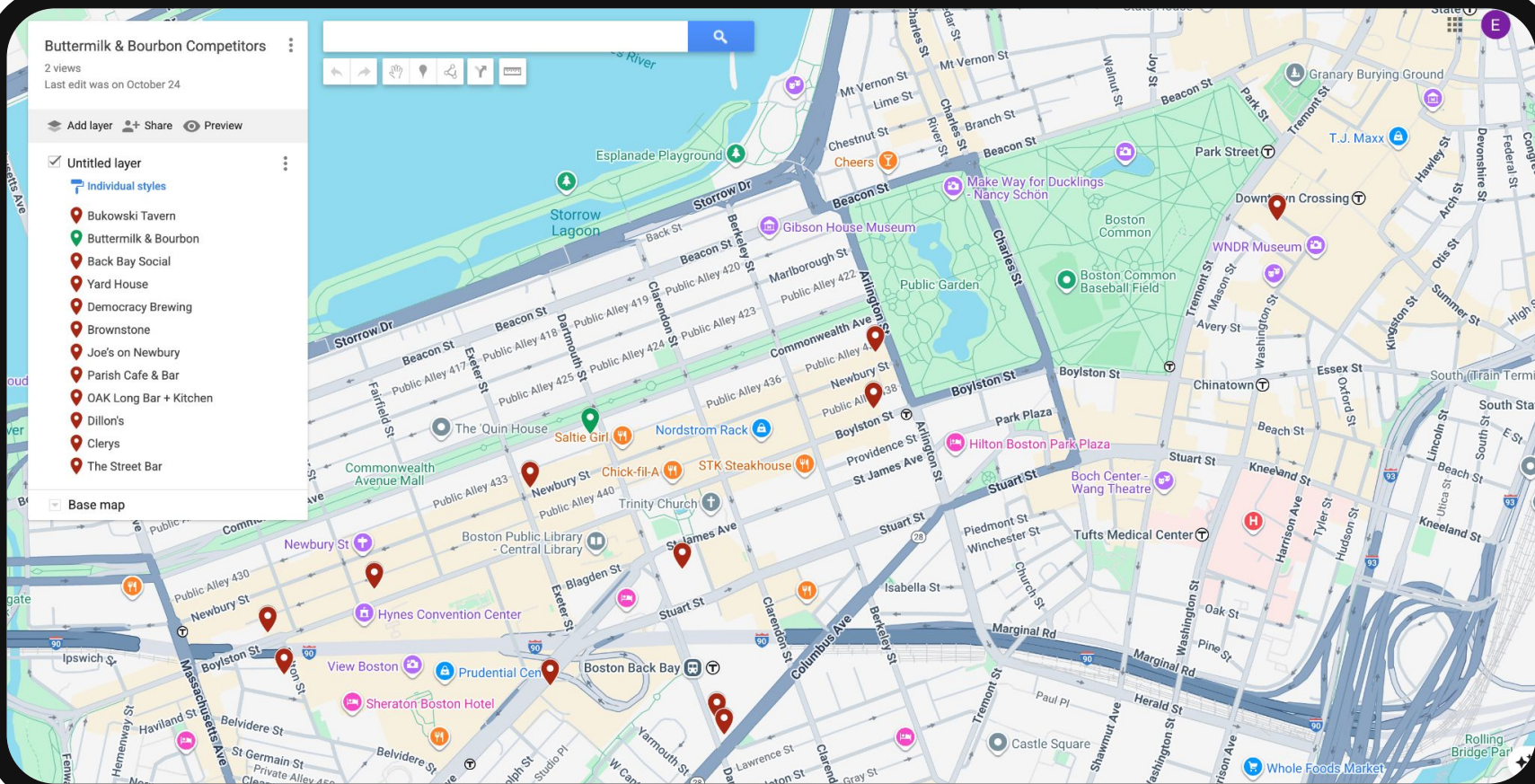
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Individual styles

- Bukowski Tavern
- Buttermilk & Bourbon
- Back Bay Social
- Yard House
- Democracy Brewing
- Brownstone
- Joe's on Newbury
- Parish Cafe & Bar
- OAK Long Bar + Kitchen
- Dillon's
- Clerys
- The Street Bar

Base map



Project Starting Assumptions

Microbrewery Specifications:

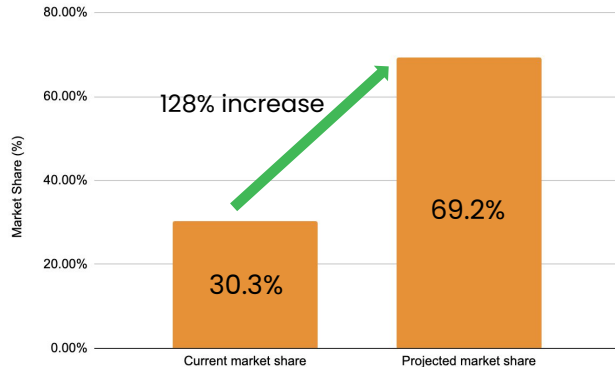
8 155-gallon tank system brewing 40 barrels of beer every cycle.
The system produces 476,160 pints per year.

Key Assumptions About Market & Restaurant:

- Maximum capacity of 800 per day at **60% average daily occupancy**
- **89%** beer consuming-diners per day
- Forecasted change of demand per fiscal year:
 - FY1: 105%: 184,511
 - FY2: 110%: 193,298
 - FY3: 115%: 202,084



What can the microbrewery expansion do?



Tourism, Foot Traffic & Opportunity

22.7 M

Visitors annually Back Bay.

20–30%

Allocated to spending on food and beverage by visitors.

30 – 60K

Average pedestrian traffic in Back Bay.

Financial Mgmt.

02

Financial Management

Initial Investment:

\$200,000 loan at 6.5% for 60 months.

FY1 Projections:

Revenue: \$1.70M, Gross Profit: \$865K

FY2 Projections:

Revenue: \$1.77M, Gross Profit: \$880K

FY3 Projections:

Revenue: \$5.33M, Gross Profit: \$2.66M

Net Profit (FY3): \$1.94M

Break-even: 14.19 months

ROI: 111.64%

Strong financial viability with a sustainable growth trajectory.

Financial Overview

Employee & Staffing

\$290,000

Team of 7 core people

Lean Mechanical Structure

General & Administrative

\$48,500

Operational Costs

Overheads & Admin costs

Marketing Costs

\$150,800

10% of FY1 revenue

Digital and traditional activities

Debt & Financing

\$46,958

Small Business Loan

6.5% interest over 60 months

Rent & Facilities

\$6,000

\$45-55 per square foot

Renting an additional 200 sq feet

Financial Market indicators

5% ROI

1% Risk-Free Interest rate

Virtually zero skills



What-If Analysis

Scenario Comparison

At the same sales volume, premium pricing (\$9.50) generates nearly **37% more gross profit** than low-tier pricing (\$6.50).

Low Price (\$6.50): **~\$1.95M** Gross Profit

Premium (\$9.50): **~\$2.66M** Gross Profit

Difference: +\$714,000

Goal Seek Analysis

To match premium profit at a lower price:

53%

Volume Increase Required

(An additional 126,191 units)

Strategic Decision: Premium pricing strategy is validated.



Break Even Analysis

Fixed Operating Costs (FY1):

- G&A: \$48,500
- Rent: \$6,000
- Insurance, Permits, Depreciation: \$8,400
- ➔ Total Fixed Costs: \$54,500

Additional Expenses:

- Marketing Expenditure: \$107,900
- Annual Loan Repayment (3-year @ 6.5%): \$73,548

Variable Cost per Unit:

- Materials \$0.38
- Labor \$0.30
- Other \$0.25
- ➔ Total VC/unit: \$0.93

Pricing & Sales Mix:

- Avg Retail Price: \$9.50
- Avg Wholesale Price: \$2.45
- Sales Mix: 39.5% Retail, 60.5% Wholesale

RESULTS:-

Break-Even Type	Formula	Result
Operating BE	$54,500 \div 0.732$	\$74,600
Operating + Marketing BE	$(54,500 + 107,900) \div 0.732$	\$221,900
Cash BE (w/ Loan)	$(162,400 + 73,548) \div 0.732$	\$322,300

Marketing Mgmt.

03

Product



6 Retail Beers (4 Light + 2 Dark):

Light Wheat, Red Wheat, Pale Ale,
Nut Brown Ale, Pilsner, Bavarian
Lager



2 Wholesale:

Pilsner All-Malt, Bavarian Lager
All-Malt



Product Innovation:

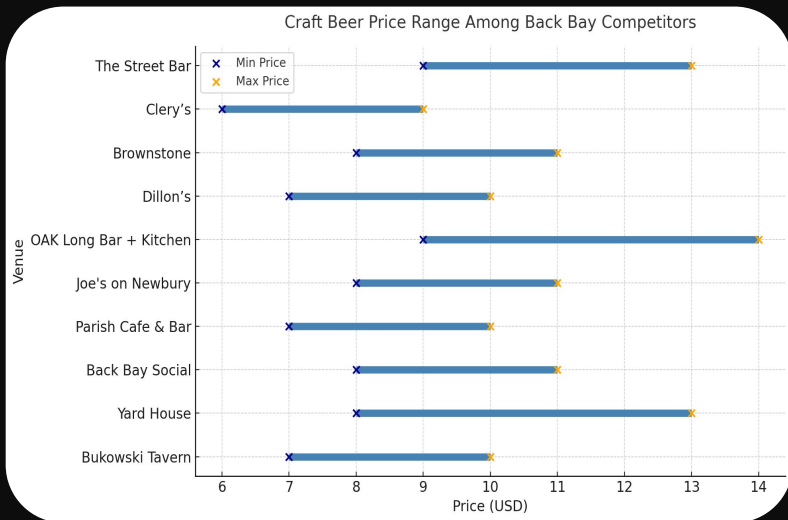
Southern-flavored NA beers
(Molasses & Toasted Spices and
Chicory)

Flavor Profile	Food Pairing
Smooth, slightly fruity or citrusy	Seafood, shrimp & grits, fruit desserts
Crisp, light and highly carbonated	Oysters, shrimp cocktail, fried chicken, fries, salads
Malty, nutty, caramel tones	Ribs, mac & cheese, biscuits, bread pudding, beignets

Price

Comparative graph shows Back Bay competitors price craft beer between **\$7–\$11 per pint**.

Our positional pricing is **slightly above mid-market**, around **\$9–\$10 per pint**.



Place

Retail	Wholesale
40.6%	59.3%
Retail Channels: In-house taproom, tasting events	Wholesale channels: Local events / food festivals, local sponsorships, trade shows

Our Craft Beer Pricing Strategy

1. Competitive Landscape

- Back Bay Competitors Price craft beer \$7-\$11 per pint.
- Market filled with strong craft beer players.

2. Positioning Strategy

- Emphasizing premium quality, craftsmanship, and exclusivity.
- Align with Back Bay's high income, experience - driven customers.

3. Recommended Price Point

- Set buttermilk & Bourbon craft beer at \$9-\$10 per pint.
- Places brand in the premium tier.

4. Strategic Benefits

- Supports healthy margins in a high cost district.
- Reinforces premium brand image.
- Enables reinvestment in quality, service, and ambiance.

Promotion FY-1

Budget: **\$150,800** (10% of FY1 revenue)

Digital Media Firm	Trade Shows	Launch Tasting Event	Public Relations & Media Outreach
\$41.2K	\$21.2K	\$26.2K	\$9100
Local Events	Local Sponsorships	Out of Home Advertising	
\$21.7K	\$26.2K	\$5200	

Marketing Management: PESTEL Analysis

P

- Tariffs can stimulate local demand but also raise input costs which narrows profit margins
- Strict alcohol promotion (ban on Happy Hours)

E

- Economic push to support locally-made products
- “Drink-local” messaging to build loyalty

S

- Rise of “sober-curious” movement and health-conscious drinking
- 61% of Gen Z and millennials prefer low-to-non alcoholic options

T

- AI-based demand forecasting to align brewed batches with seasonality
- “Behind-the-brew” social media campaigns and chef-led pairing videos

E

- Source local New England ingredients
- “Zero-Waste Pairings” by repurposing spent grains from beer production on food

L

- Obtain and maintain necessary licenses
- No maximum production limits in Massachusetts

Marketing Management: SWOT Analysis

Strengths

Established brand presence with high visibility and a loyal, high-traffic customer base.

Chef-driven identity and culinary expertise in Southern cuisine

Operational experience running a full-service restaurant and bar.

Existing liquor license and equipped bar, lowering startup barriers.

Southern-inspired niche positioning and strong community presence.

Experiential brand elements, including ticketed events and themed menu nights.

Flexible layout (cocktail areas, patios, private rooms) supporting tastings, events, and diverse customer engagement.

Branded merchandise (apparel, cookbooks) that strengthens brand identity.

Weakness

Lack of direct brewing experience

Capital-intensive startup requirements

Limited physical space in Back Bay properties, which may restrict brewing capacity and scalability.

Potential brand dilution risk when expanding from a cocktail-centered identity into craft beer.

To avoid dilution, the brand must emphasize **differentiated yet complementary experiences**:

Cocktails → vibrant, creative, fruity flavor profiles
Craft beers → hearty, indulgent, Southern-inspired profiles

Operational complexity increases when merging two beverage programs under one cohesive brand narrative.

Opportunities

Boston's strong craft beer culture aligns with the restaurant's focus on authenticity, small-batch quality, and experiential dining.

The **craft beer sector continues to grow in retail dollar value**, signaling demand for premium offerings (Brewers Association, 2025).

Ability to create **unique food-beer pairings** that enhance the dining experience and differentiate the brand.

Event-based marketing, including tastings, release parties, and themed brewery nights, can create buzz.

Collaborations with local brewers and participation in beer festivals can expand visibility and community connection.

Ability to position Buttermilk & Bourbon as an **experiential destination**, not just a restaurant.

Growth potential in **locally exclusive, Back Bay-only craft beers**, enhancing authenticity and customer loyalty.

Threats

Highly competitive and mature Boston craft beer market.

Regulatory challenges, including:
Costly approvals from the ABCC and Boston Licensing Board
Multiple hearings, public notices, and long review timelines
Additional zoning, health, and fire code permits

Rising startup costs associated with compliance, permitting, and brewing infrastructure.

Economic downturns may reduce spending on dining and craft beverages.

Shifts in consumer preferences toward lower-alcohol or alternative beverages could impact demand.

Reputation risk if beer quality, service consistency, or branding misalignment harms the restaurant's established image.

Need for **strong risk management** and high operational standards to protect long-term brand integrity.

Innovation Mgmt.

04

Zero-Waste Culinary & Brewing System

- Closed-loop system repurposing spent grains
- Enhances Southern culinary identity
- Low-cost, high-impact process innovation
- Immediate operational efficiencies
- Creates cohesive “farm-to-glass, farm-to-table” brand story



Three Horizons Framework

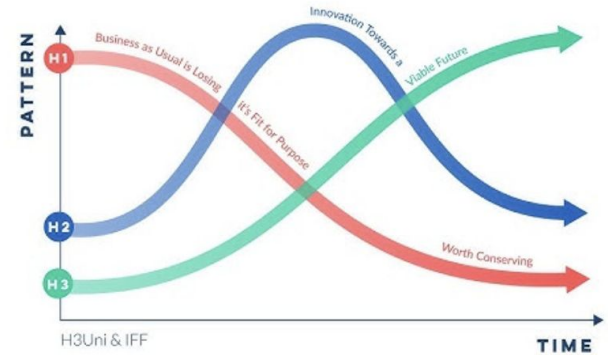
Three Horizons of Sustainability Innovation

Slide Bullets:

Horizon 1: Integrate zero-waste practices into daily brewing & kitchen workflow

Horizon 2: Use sustainability as a visible differentiator & marketing advantage

Horizon 3: Become Boston's leading eco-culinary microbrewery with expanded practices





Why This Innovation Fits Us?

- Aligns with brand: Southern, comfort-driven, storytelling-focused
- Differentiates from Back Bay competitors
- Supports premium pricing through eco-culinary value creation
- Builds long-term sustainability positioning
- Low-risk, high-impact process innovation

SWOT Analysis

WEAKNESSES

- Requires coordination between kitchen & brewery
- Staff training needed for consistent repurposing
- Financial benefits may take time to materialize

STRENGTHS

- First mover in Back Bay with eco-culinary brewing
- Enhances Southern brand identity & storytelling
- Reduces procurement costs through grain repurposing
- Appeals to eco-conscious, premium-paying customers

THREATS

- Competitor greenwashing
- Seasonal variability in local suppliers
- Regulatory changes affecting food repurposing practices

OPPORTUNITIES

- Rising demand for sustainable dining experiences
- Strong PR potential, community partnerships, events
- Market gap: no sustainability-foc used breweries nearby

Innovation Management: PESTEL Analysis

P

- Supports responsible beverage service policies
- Fewer regulatory hurdles than alcoholic products

E

- Captures wellness-focused, lunch-time, and professional diners
- Expands market without added alcohol tax or compliance cost

S

- Aligns with “sober-curious” movement and health-conscious drinking
- Creates inclusive dining experiences for all guests

T

- Arrested fermentation and modern brewing tech preserve flavor

E

- Shorter fermentation duration lowers energy and CO₂ use
- Sustainable local sourcing of Southern-inspired ingredients

L

- Simplified compliance and serving requirements
- Broader distribution possibilities beyond alcohol-licensed venues

Innovation Management (Product-driven)

Goals

Differentiate the microbrewery while capitalizing on evolving market needs.

Approach

2 new Southern-Flavored NA Craft Beers:

- Products: Molasses & Toasted Spices, Chicory
- Technique: Arrested fermentation
- Price: \$8.50 per pint
- Material cost: \$0.50 per unit
- Market share: 10.5%

Outcome

Meet customers' needs to improve brand loyalty, increase customer base and strengthen both economic and social value creation.



Operations Mgmt.

05

Three-Year Operational Plan

Year 1 : Establish Foundation

Install brewing equipment & secure licenses

Develop SOPs for brewing, sanitation, tank scheduling & quality control

Hire/train staff and integrate demand forecasting into planning

Launch flagship brews and pilot production runs to set baseline metrics

Begin small-scale distribution to nearby partners

Year 2 : Optimize & Build Capability

Update brewing schedules using historical data + seasonal forecasting.

Introduce seasonal brews to enhance differentiation.

Apply lean principles to reduce waste & improve tank utilization.

Strengthen coordination between **operations & marketing** for demand alignment.

Year 3 : Scale & Strengthen Strategic Impact

Implement decision-support tools (sensitivity analysis, what-if models)

Enhance supply chain resilience through diversified vendors

Align maturing capabilities with **long-term strategic objectives**

Position the microbrewery for expanded operational and brand influence

Operations Management: Sensitivity Analysis

Excess Demand Formula = Demand – Supply / Demand x 100

A positive ED% indicates a shortage (demand exceeds supply), while a negative ED% indicates a surplus (supply exceeds demand).

The sensitivity analysis showed that each SKU responds differently to changes in production, meaning the brewery cannot rely on a single adjustment across all products.

PROJECTED FY-2: SENSITIVITY ANALYSIS BASED ON FY-1				
SKU	FY 1 Baseline ED%	-10% Tanks (Proj. FY2 ED%)	+10% Tanks (Proj. FY2 ED%)	Notes
BR-1	5.54%	+15.01%	–3.93%	Needs slightly more supply; higher PMD in peak months reduces shortages. Avoid lowering PMD..

Operations Management: SWOT Summary

Strengths

High demand for key SKUs (BR-1, BR-2) shown by consistent shortages

Strong customer appetite for core microbrewery offerings

Stable performers indicate solid product-market fit

Weakness

Production levels not meeting demand for top-selling SKUs.

Overproduction in BR-3, BR-9, BR-10 causing excess inventory and inefficiencies.

Need for improved forecasting and PMD allocation to balance supply.

Opportunities

Moderate-shortage SKUs (BR-1, BR-2, BR-6, BR-7) can reach ideal ED range with small PMD adjustments.

Ability to reallocate tank capacity from surplus SKUs to high-demand products.

Potential to improve service levels and reduce waste through targeted production tuning.

Threats

Surplus-prone SKUs create cost, storage, and spoilage risks.

BR-4's volatility shows risk of operational instability with minor production changes.

Misalignment between supply and demand could reduce profitability if unaddressed.

Organizational & HR Management

06

Organizational Structure

Lean Mechanical Organization

Consultant Manager: \$90,000

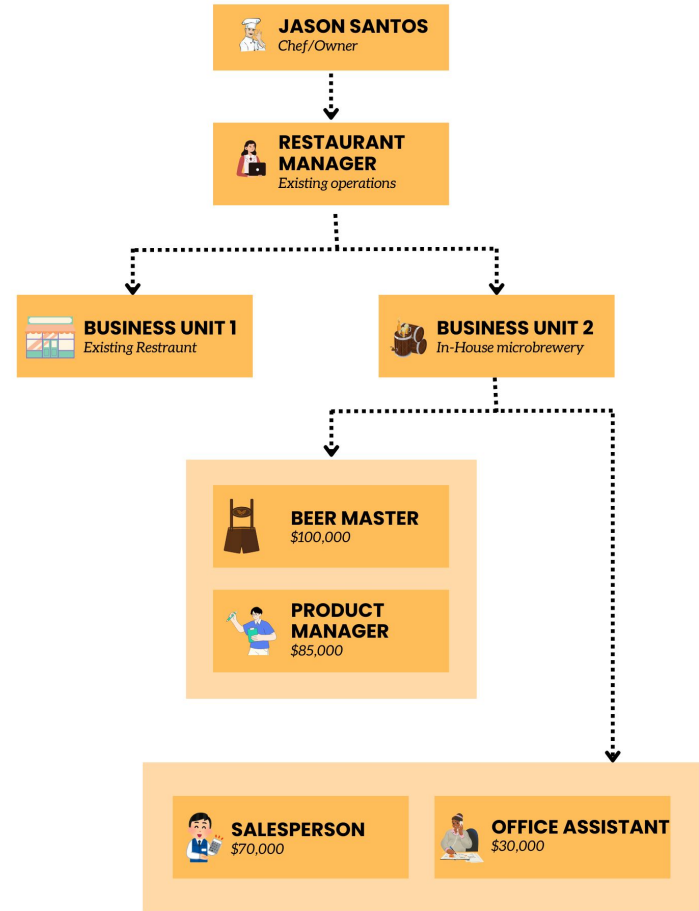
Beer Master: \$100,000

Salesperson: \$70,000

Office Assistant (PT): \$30,000

External Digital Firm: Contract

Wage Strategy: 10-15% premiums for key roles to prevent turnover.



Risk Analysis

25

Loss of Key Personnel

Mitigation: Competitive Pay,
Cross-training, Documentation

15

Employee Burnout

Mitigation: Promoting work-life
balance, Rotating Schedules

12

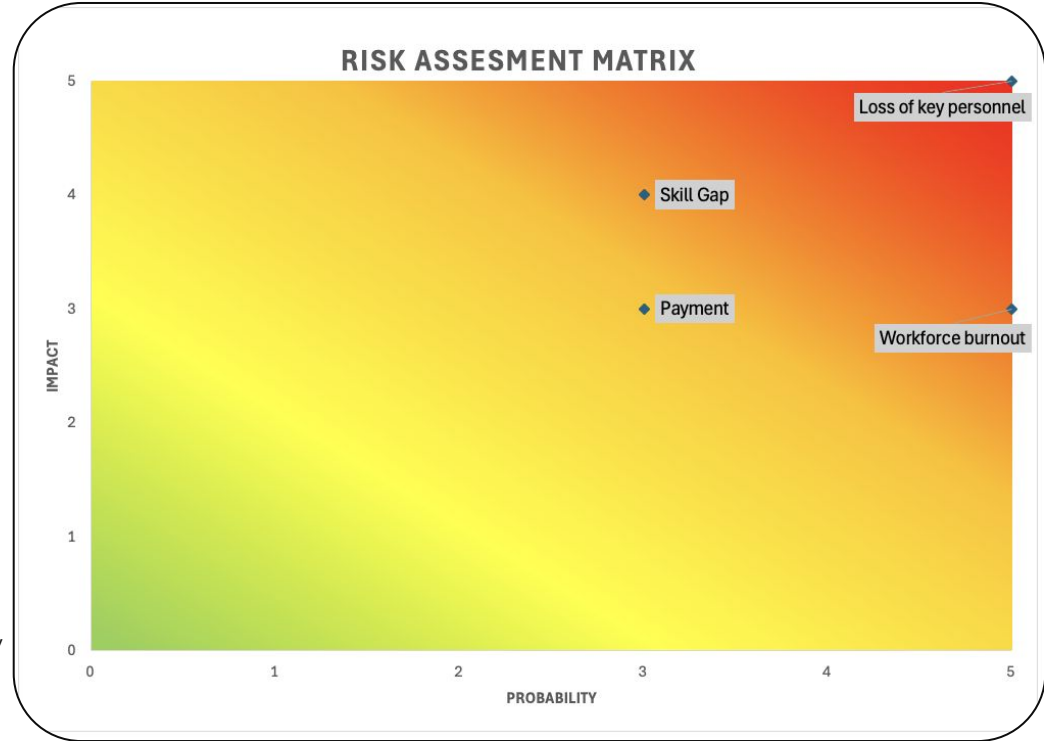
Skill Gap

Mitigation: Skill assessment,
Mentorship programs

09

Competitive wages

Mitigation: Salary Benchmarking,
Planned increases and
non-monetary benefits



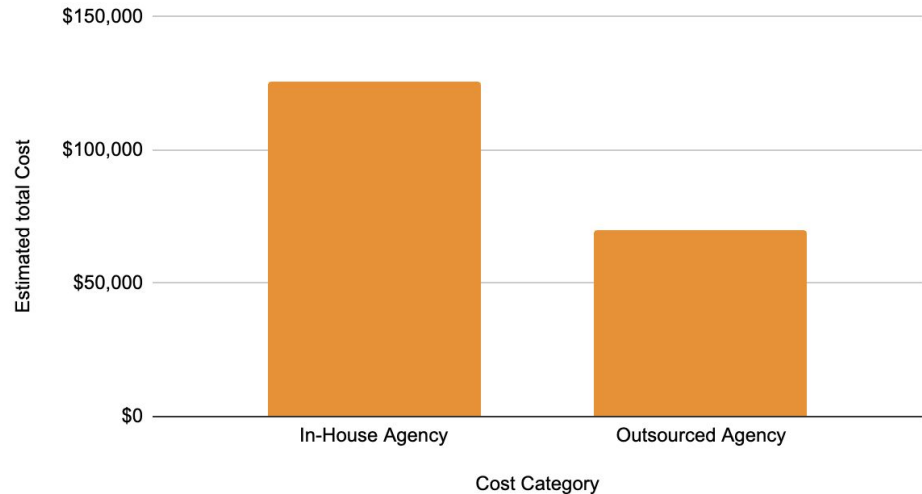
Cost-Benefit Analysis

Should we hire an in-house marketing team or outsource?

Recommendation: Outsource Digital Agency

- **Financial Efficiency:**
Significant Cost Reduction, utilizing budget with surplus.
- **Performance:**
Access to a larger, specialized skillset.
- **Risk Mitigation:**
Agency bears the impact of personnel turnover

Estimated total Cost vs Cost Category



Simulation Cycles

07

Simulation Cycle Analysis

12

Finance

Underlying: Marketing

8

Operations

Underlying: Marketing &
Finance

14

Operations

Underlying: Marketing,
Finance, Organization,
Innovation

More decision dimensions are included

Simulation Results: Cycle Performance

Cycle 8 (Operation)

Total Revenue: \$5.41M

Gross Profit: \$2.71M

Net Profit: \$1.97M

Break-even Time: 14.27 mo

- Simulating tank cut-offs, capacity planning, and cost adjustments significantly boosts profitability
- Break-even improves as fixed costs drop and demand is better matched to production
- Lacks organizational and innovation drivers needed for long-term strategy

Cycle 12 (Finance)

Total Revenue: \$4.73M

Gross Profit: \$1.91M

Net Profit: \$1.39M

Break-even Time: 18.21 mo

- Provides a narrow financial view focused on advertising and basic expenses
- Generates the *lowest* revenue and profit due to lack of operational levers
- Shows that marketing alone cannot maximize brewery performance

Cycle 14 (Comprehensive) ✓

Total Revenue: \$5.33M

Gross Profit: \$2.66M

Net Profit: \$1.94M

Break-even Time: 14.19 mo

- Adds workflow efficiency through mechanical organization design and innovation drivers with two new non-alcoholic beers
- Achieves lowest break-even revenue and strongest fixed-cost efficiency
- Slightly lower profit efficiency than Cycle 12, but more sustainable due to balanced and realistic assessment across all decision domains

Conclusion: Cycle 14 demonstrates that coordinated cross-functional decisions yield the strongest, most sustainable long-term performance.

Best Cycle Overview

- Strongest integration of marketing, operations, HR & innovation
 - Stable PMD alignment → fewer shortages & surpluses
 - Zero-Waste innovation improves efficiency & brand value
 - Organizational structure supports scalability
 - Most realistic long-term performance profile
-
- Total Revenue: \$5,333,798
 - Gross Profit: \$2,664,210.32
 - Net Profit: \$1,936,081.64
 - Break-even Time: 14.19 months
 - ROI: 111.64% (Return of \$1.11 per \$1 invested)

Implementation Plan

08

Phase 1 - Investment Decision

- Tasks:
- Finalize financial commitment
 - Approve investment

 - Begin licensing prep

Duration: 1 week

Phase 2—Business Preparation

- Tasks:
- Develop business plan

 - Secure loans and funding
 - Confirm suppliers & contracts

Duration: 2 weeks

Phase 3—Procurement & Setup

- Tasks:
- Purchase and transport brewery
 - Prepare production site and wholesale warehouse space
 - Hire, train and onboard core staff

Duration: 5 weeks

Phase 4—System Installation & Training

- Tasks:
- Install brewery system
 - Cross-train kitchen & brewery teams
 - Conduct test batches for 6 alcoholic beers

Duration: 4 weeks

Phase 5—Marketing Awareness

- Tasks:
- Begin brand storytelling: Southern × Sustainability
 - Prepare launch campaign

 - Soft tasting events

 - Promote Zero pairings

Duration: 2 weeks

Phase 6 Operation Launch (Year 1)

- Tasks:
- Launch 6 alcoholic beers
 - Begin limited wholesale distribution
 - Monitor demand

 - Implement baseline performance metrics

Duration: Year 1

Phase 7 Scale & Expansion (Years 2 & 3)

- Year 2:
- Hire Innovation Specialist
 - Pilot NA beers using arrested fermentation
 - Optimize production using Year-1 data

- Year 3:
- Scale NA beer line
 - Add energy-efficient brewing upgrades

Duration: Years 2–3

Decision Strategy Summary

- **Cross-functional integration** in **Cycle 14** delivers strongest overall performance
- **High profitability** supported by **premium pricing, efficient production, and innovation**
- **Operational stability** achieved through seasonality forecasting & PMD refinements
- **Zero-waste system** reinforces **cost-efficiency** and strengthens Southern culinary identity
- NA beer innovation **expands reach to high-growth market segments**
- **Low implementation risk** due to alignment with existing workflows & infrastructure

Final Conclusion

- Microbrewery delivers strong financial, operational, and strategic performance
- Sustainability & NA innovation create defensible long-term differentiation
- Cycle 14 confirms high feasibility, strong margins, and scalable operations
- Investment strengthens brand identity and expands market reach
- **Proceed with the microbrewery investment**

Total Revenue	\$5,333,798
Gross Profit	\$2,664,210
Net Profit	\$1,936,081
Break-Even	14.19 months